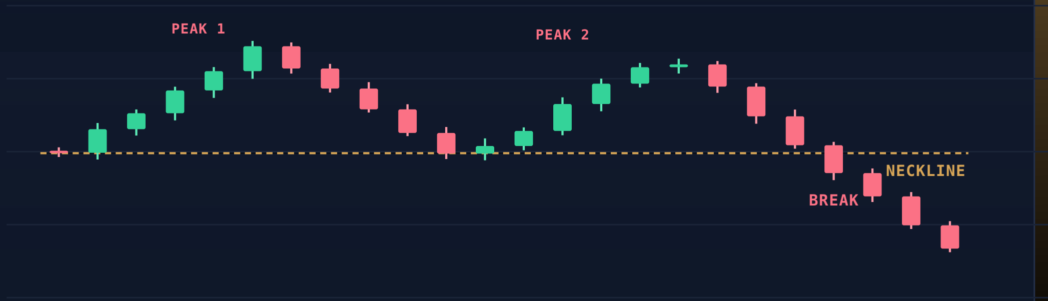
◆STRATEGY GUIDE 05 / 20 · REVERSAL PATTERN

Double Top & Bottom

Two failed attempts at the same price tell you something about who's exhausted. Here's what happens after — and how to trade the neckline break.

FIG. 1 — TWO PEAKS, ONE NECKLINE, A CONFIRMED BREAK DOWN



PATTERN TYPE	DIRECTIONAL BIAS	TYPICAL READ TIME	WORKS BEST ON
Reversal	Against the prior trend	9 min	Mature, extended trends

01 What It Is

A double top or double bottom is a reversal pattern where price tests the same high (a double top) or the same low (a double bottom) twice, failing to make a new extreme on the second attempt. The level between the two peaks or troughs — the **neckline** — becomes the confirmation trigger: only once price breaks through it does the pattern actually complete.

These patterns tend to appear after an existing trend has run for some time — a double top typically caps an uptrend, a double bottom typically caps a downtrend. That context matters: the same "two touches of a level" shape appearing in a directionless, choppy market carries much less reversal significance than one appearing after a long, extended move.

02 Why It Works

The failed second attempt is the core of the signal. On the first test of the extreme, the prevailing trend is simply doing what it's been doing — pushing to a new high or low. The second test is different: whichever side pushed price there the first time tries again, and this time can't repeat it. That failure to make a new extreme is direct evidence of exhaustion in the trend that had been in control.

The neckline break is what confirms the shift rather than leaving it as a pause. Many apparent "double tops" never actually break their neckline — price simply consolidates and the prior trend resumes. Waiting for the confirmed break filters out those cases, at the cost of a somewhat later, less favorable entry price than trying to anticipate the reversal from the second peak alone.

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03 Anatomy Of The Pattern

- **Two peaks or troughs, reasonably close in price.** They don't need to be identical — small differences are normal — but a wide gap between them weakens the case that this is really "the same" level being tested twice.
- **A visible trough or peak between them** — this is the neckline, and it's the level price must break to confirm the pattern.
- **A confirmed close through the neckline.** A wick that briefly pokes through is much weaker evidence than a full-bodied close beyond it.
- **Volume context.** Many traders look for volume to pick up on the neckline break, similar to any other breakout, as a sign of genuine participation behind the move.

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04 Two Variations

DOUBLE TOP

SHORT BIAS

Two failed attempts at a high, a neckline between them, a confirmed break below the neckline resumes lower.

DOUBLE BOTTOM

LONG BIAS

Two failed attempts at a low, a neckline between them, a confirmed break above the neckline resumes higher.

05 How To Trade It

STEP	DETAIL
Confirm structure	Two peaks/troughs reasonably close in price, with a clear neckline between them
Wait for confirmation	A confirmed close through the neckline — many "double tops" never actually break down
Target	Measure the pattern's height (peak to neckline) and project it from the breakout point
Stop	Above the second peak (for a top) or below the second trough (for a bottom)

> **On targets:** a measured-move target that ignores nearby support/resistance between the entry and the projected objective can be unrealistic — check for a closer level that might cap or extend the move before treating the measured target as the plan.

06 Common Mistakes

- Calling a double top or bottom before the neckline actually breaks — many never do.
- Ignoring the surrounding trend: these patterns are more reliable as reversals of an existing, extended trend than in a directionless market.
- Using a profit target that ignores nearby support/resistance between entry and the measured objective.
- Treating two touches at wildly different prices as a valid double top or bottom.

Double Top & Bottom — Cheat Sheet

STRUCTURE

Two peaks/troughs at a similar level, one neckline between

TRIGGER

Confirmed close through the neckline

TARGET

Pattern height projected from the break

STOP

Beyond the second peak or trough

CONTEXT CHECK

More reliable after a mature, extended trend

WATCH OUT

Many apparent double tops/bottoms never break the neckline

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